Nosebleed Sports LLC founder binder: decisions made in v1 and questions for Nick

Written 2026-11-12. Everything below is either a fact you gave me, a default I had to pick to produce a complete draft, or a question only you can answer. Nothing in the documents is a made-up fact; where a number was unknown I built the documents so the number lives in a ledger you attach at closing, not in the text.

1. Facts I used (from you, the IRS letter, the Delaware certificate and the Brock Smith agreement)

Fact	Value	Source
Entity	Nosebleed Sports LLC, Delaware LLC	Certificate of formation
Formed	August 7, 2026, file number 10727267	Certificate of formation (SR 20263996710)
Registered agent	ZenBusiness Inc., 611 South DuPont Highway, Suite 102, Dover, DE 19901	Certificate of formation
EIN	42-4477699, assigned August 17, 2026; Form 1065 due March 15, 2027	IRS CP575B
Principal office	105 Broadway, Rockville Centre, NY 11570	You; IRS letter
Bank account	None yet	You
Members	Nick 20% CEO; Christian Clark 20% CTO; Gabriel DiDario 13% CMO; Stephen Bickel 13% CIO; Michael Del Bene 13% CDO; Brock Smith 1.5% co-founder; 19.5% reserved for strategic partners	You
JGN Media LLC	Owned 25% each by Nick, Gabriel, Stephen, Michael; owns the tech and the Nosebleed Sports brand; owns all social accounts; funded everything; will fund until self-sufficient; licenses the brand to NSL	You
JGN entity type	New York LLC	Brock Smith agreement, page 1
Who built the platform	Nick started the app, website and Discord; Stephen refined the website; Christian was brought in to finish all three	You
Brock Smith	Hired as handicapper and on-camera face; Talent, Handicapping, and Content Services Agreement effective September 24, 2026, three parties (JGN, NSL, Brock)	Agreement you attached

2. The structure I built, and why (confirm each)

1. **Platform assigned to NSL, brand licensed, socials stay with JGN.** You said JGN "owns the tech and the branding but is licensing out the branding." A buyer of NSL has to own the app, website, Discord and code outright, or there is nothing to buy, and the Brock agreement already says NSL "owns and operates" the app, website, Discord and premium picks. So document 19 has JGN *assign* the platform tech to NSL at closing and *license* the brand (exclusive in the app/website/community/paid-picks field, perpetual, royalty-free, transferable to a buyer). The 1.7M-follower social accounts stay JGN's, with a promise to promote the platform through them (the "promotion covenant") that survives a sale for 24 months. **If you meant that JGN keeps the tech too and only licenses it, tell me; the binder changes a lot and the company is worth much less to a buyer.**

1. **JGN's money is a loan with no interest, not equity and not the founders' problem.** Every dollar JGN spent is a "JGN Funding Advance": repayable by the company only after it is self-sufficient or out of sale proceeds, never by any member personally. JGN gets no units for it. TLNT's "Cost-Share" machinery (each founder owing a share of expenses) is gone; it would have made Christian owe money to a company he does not own. Alternatives: JGN forgives the money (then it is gone and a buyer sees no debt), or JGN takes units for it (then JGN becomes a member). The dollar amount is not in the documents because I do not have it; it lives in a "JGN Funding Ledger" that JGN hands over at closing. **I need the expense history (a tracker export) to fill that ledger.**

1. **JGN's funding promise is terminable on 90 days' notice.** You said JGN agrees to fund NSL until self-sufficient. An open-ended, uncapped promise would be a liability for JGN's four owners, so the draft commits JGN to fund the approved quarterly budget until the "Self-Sufficiency Date" (three straight months of positive operating cash plus a three-month cash reserve), with a 90-day exit. Tell me if you want it stronger (a dollar cap and no exit) or weaker.

1. **Founders pay cash, $0.001 a unit.** Nick $2,000, Christian $2,000, Gabriel $1,300, Stephen $1,300, Michael $1,300: $7,900 total, paid into a company bank account that gets opened as closing step 1. TLNT paid by crediting expenses already paid; nobody here paid expenses personally, so cash is the clean route. Alternative: issue the units for past services (taxable to the founders, messier). The value memo supports $7,900 total equity because the company owns a launch-stage platform, no cash, no revenue in its own name, a licensed (not owned) brand, and owes JGN.

1. **Brock gets 150,000 Class B non-voting units, signs nothing.** His agreement already promises him 50,000 "Initial Units" (0.5%) plus milestone units up to 5%, as non-voting profits interests, and says NSL must adopt an operating agreement within 120 days of September 24, 2026 (**by January 22, 2027**) and issue the Initial Units within 30 days after that. The draft issues 150,000 as the Initial Units (more than the 50,000 owed), as profits interests with a $7,900 threshold (so they cost him nothing and are not taxable income to him), and admits him as a member without a signature, which Delaware's LLC Act allows. His milestone table then works like this: at $25,000 of qualifying revenue the target is 1.0% cumulative, which he already exceeds, so nothing is issued; at $60,000 he goes to 2.5%; $110,000 to 3.75%; $175,000 to 5%. **Two things to confirm:** (a) that 1.5% is on top of his agreement, not instead of the milestones (cutting the milestones needs Brock's signature on an amendment, because his agreement says so); (b) that you are fine with his 150,000 units being forfeitable until the earlier of the $25,000 milestone and 12 months of good standing, which is what his agreement says for Initial Units.

1. **19.5% reserved = 1,950,000 authorized but unissued units.** Issuing any of them to a strategic partner is a Major Decision (75% vote). Founders' preemptive rights do not apply to reserve issuances, or the reserve could never be used. Brock's milestone units also come out of the reserve.

1. **Percentages.** Your 20/20/13/13/13/1.5 are "fully diluted" percentages of 10,000,000. Until the reserve is issued, each person actually owns more of what exists: Nick 24.845% of outstanding units, each 13-holder 16.149%, Brock 1.863%. Votes are measured against Class A only: Nick 25.316%, each 13-holder 16.456%. All three sets are in Schedule A and the cap table.

1. **Votes: 75% of Class A, every decision, silence never counts** (TLNT rule). The math for your table (threshold 5,925,000 of 7,900,000 voting units):
    - Nick + Christian + any two of Gabriel/Stephen/Michael: 6,600,000 = 83.5%. Passes.
    - Nick + Christian + one 13-holder: 5,300,000 = 67.1%. Fails.
    - Nick + all three 13-holders (Christian out): 5,900,000 = 74.7%. Fails by 25,000 units.
    - Christian + all three 13-holders (Nick out): same, fails.
    - So nothing passes without both you and Christian, and any two of the 13-holders together can block. If you want Nick + the three 13s to be enough, the threshold has to be 74% or lower (at 70%, 5,530,000, that combination passes and Nick + Christian + one 13 still fails; at 66⅔%, 5,266,667, Nick + Christian + one 13 also passes).

1. **JGN-conflict votes.** On a vote to change JGN's deal (amend the license, repay the advances), the four JGN owners are "interested" and only Christian is not. TLNT's rule says if fewer than three members are disinterested, it falls back to the normal 75% vote, which means the JGN owners vote on their own deal. A buyer will notice. The alternative is to require Christian's written consent for any change to the JGN agreement. I left the TLNT rule in; say if you want Christian's consent instead.

1. **Who signs for whom.** You sign everything for the company and sign for JGN as Authorized Representative. Christian signs the JGN Agreement for the company (so the same person is not on both sides), countersigns your purchase agreement and receipt, and confirms each founder's payment against the bank records; you confirm his. Bank signers: you and Christian. The August plan had all five as bank signers; tell me if you want that back.

1. **Officer lanes.** CEO (Nick), CTO (Christian), CMO (Gabriel), CIO (Stephen), CDO (Michael: you wrote "chief data engineer", I titled it Chief Data Officer with a data-engineering lane). Spending: CEO and CTO up to $25,000 each; other officers $5,000 in their lane; above $100,000 needs a vote (TLNT numbers). JGN also has to approve anything it is funding.

1. **Vesting: 50% at closing, 50% monthly over 48 months, no cliff**; 50% of unvested units accelerate if a buyer fires you without cause within 12 months of a sale (TLNT terms, same as your August plan). Monthly: 20,833 units for the 20% holders (1,000,000 ÷ 48, rounded down; the last month trues up with 20,849), 13,541 for the 13% holders (last month 13,573).

1. **Non-compete, narrow.** A "Competing Business" is only a *paid* picks/handicapping/props product, or a sports app or community whose main money is paid picks. Expressly allowed: JGN's media business and social accounts (including free picks talk on them), selling ads and sponsorships, TLNT Connect and any software or agency business, being a creator. So it does not collide with TLNT's non-compete, which covers talent-agency and creator software. Brock is bound by his own agreement's exclusivity, not by the OA's.

1. **Regulated activity gate.** The OA says the company cannot take bets, run a sportsbook, start sportsbook affiliate deals, or expand paid picks into a state that requires a licence or registration, without a 75% vote and a written compliance plan. That is the only place the documents touch regulation.

1. **Removed from TLNT:** Cost-Shares and the related settlement machinery; Purchase Price Credits; the COO role; Slack as an official channel (Discord plus the text group remain); "rotate credentials" in the account schedule, replaced by "credentials and API keys are changed only as the CTO approves" because of your rule never to rotate keys.

3. Risks to decide on, once (not in the documents)

- **Paid betting picks are regulated in some states** (tout and advertising rules, age limits, some states require registration or a licence for paid handicapping; sportsbook affiliate deals have their own rules). The documents gate these as Major Decisions and leave the rest to you. A one-hour conversation with a gaming lawyer before you take sportsbook money is the cheap version.
- **The Brock agreement deadline.** The OA has to be adopted by January 22, 2027 and his units issued within 30 days after, or NSL is in breach of his agreement.
- **83(b) elections.** Founders buy at fair value with a lower-of-cost-or-FMV repurchase on unvested units; an 83(b) election within 30 days of closing normally costs nothing and avoids tax as units vest. TLNT's CPA said no; the purchase agreements here say the founder "may" elect, nothing more. Ask the CPA.
- **Form 1065 for 2026 is due March 15, 2027** (IRS letter). Even with almost no activity, a partnership return is due.
- **Brock's view bonuses and monthly fee** are owed by "the Company" (JGN and NSL jointly) under his agreement. The JGN Agreement allocates them and treats what JGN pays as advances. Nothing is owed by the founders.

4. Questions still open (answer these and I rebuild)

Batch A: company and people

1. Is JGN now owned 25% each by you, Gabriel, Stephen and Michael, with Jacob Glover out? The August notes had Glover at 20%. Document 20 is written for four owners holding 100%.
2. Is Nado in or out of the cap table, and did he (or anyone else) build the props pipeline or other platform code without signing an IP assignment? Document 16 says no contractor assignment is on file.
3. Target signing and closing date?

Batch B: money

1. The JGN expense history: total, categories, and dates (a tracker export). It goes in the JGN Funding Ledger.
2. Any revenue, subscribers or sponsorship income tied to the Nosebleed platform to date, and where it was collected (Whop? Fanbasis? a JGN account?). The value memo currently says none in NSL's name.
3. Which bank, and do you want five bank signers or two?

Batch C: rules

1. 75% votes with the math above, or a lower threshold?
2. Christian's consent on JGN-deal changes, or the TLNT fallback?
3. Keep the $25,000 / $5,000 / $100,000 spending thresholds?

Batch D: JGN and assets

1. Confirm: platform tech assigned to NSL, brand licensed, socials stay with JGN. Which domains does the platform run on, and who holds them today?
2. Which accounts does JGN hold for the platform (Discord server owner, Vercel, Supabase, Whop, app-store accounts, data APIs)? Account names only, for the account schedule.
3. Does any sponsorship or affiliate contract relate to the platform rather than the social accounts?

Batch E: launch

1. Anything in Schedule F (the business description) that is wrong or missing: app-store plans, licensed data provider, newsletter?
2. Who gets the Founder Summary, who gets the Nick-only guide, and do you want an attorney roadmap like Dave's?